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**U.S. Customs and
Border Protection**

September 18, 2025

PUBLIC VERSION

OT:RR:BSTC:CVB H349741 GHS

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Re: Enforce and Protect Act (“EAPA”) Case Number 7969; *Magnesium Metal From the People’s Republic of China: Antidumping Duty Order*, 70 Fed. Reg. 19,928 (Dep’t of Commerce Apr. 15, 2005); Thompson Aluminum Casting Company, Inc.; 19 U.S.C. § 1517

Dear Counsel:

This is in response to the request for *de novo* administrative review of a determination of evasion dated May 9, 2025, made by the Trade Remedy Law Enforcement Directorate (“TRLED”), Office of Trade (“OT”), U.S. Customs and Border Protection (“CBP”), pursuant to 19 U.S.C. § 1517(c), EAPA Case Number 7969 (“May 9 Determination”).¹ The administrative review request, dated June 24, 2025, was submitted to CBP, OT, Regulations and Rulings (“RR”), by ArentFox Schiff LLP on behalf of Thompson Aluminum Casting Company, Inc. (“TAC” or “Importer”) pursuant to 19 U.S.C. § 1517(f) and 19 C.F.R. § 165.41(a). On July 9, 2025, Vorys, Sater, Seymour, and Pease LLP, filed a response to the administrative review request on behalf of Trinity Metals, LLC (“Trinity” or “Alleger”).

¹ See Notice of Determination as to Evasion, EAPA Case 7969 (May 9, 2025) (Public Version), *available at* <https://www.cbp.gov/document/publications/eapa-case-7969-thompson-aluminum-casting-company-inc-notice-determination> (last accessed Sept. 12, 2025).

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I. Background

Unless otherwise discussed, based on our review of the administrative record, we agree with the recitation of facts as set forth by the May 9 Determination. As such, we will not repeat the entire factual history herein.

On March 6, 2024, Trinity filed an EAPA allegation asserting that TAC imported Chinese-origin magnesium metal (“Mg metal”) that was transshipped through Turkey and falsely declared as country of origin Turkey to avoid the applicable antidumping duties (“AD”).² On March 26, 2024, Trinity filed a supplemental allegation containing documents to support its status as both a domestic producer and a wholesaler of Mg metal.³ CBP acknowledged receipt of the allegation on April 17, 2024. On May 8, 2024, TRLED initiated a formal investigation under Title IV, Section 421 of the Trade Facilitation and Trade Enforcement Act of 2015 (“TFTEA”), in response to the allegation of evasion.⁴

Specifically, Trinity alleged that TAC imported Mg metal from the People’s Republic of China (“China”) into the United States that had been transshipped through Turkey by Tigemer Danismanlik Ve Dis Ticaret Ltd. (“Tigemer”).⁵ Trinity further alleged that TAC entered Mg metal into the United States without declaring the merchandise as Mg metal from China, which is subject to the antidumping duty order under Case No. A-570-896 (the “AD Order”).⁶ As a result, Trinity alleged that TAC evaded the payment of antidumping duties on these imports.⁷

The allegation of evasion pertained to the AD Order issued by the U.S. Department of Commerce (“Commerce”) on imports of Mg metal from China. Commerce defined the scope of the AD Order as follows:

The merchandise covered by the order is magnesium metal, which includes primary and secondary alloy magnesium metal, regardless of chemistry, raw material source, form, shape, or size. Magnesium is a metal or alloy containing by weight primarily the element magnesium. Primary magnesium is produced by decomposing raw materials into magnesium metal. Secondary magnesium is produced by recycling magnesium-based scrap into magnesium metal. The magnesium covered by this investigation includes blends of primary and secondary magnesium.

The subject merchandise includes the following alloy magnesium metal products made from primary and/or secondary magnesium including, without limitation, magnesium cast into ingots, slabs, rounds, billets, and

² See May 9 Determination (Public Version), at 2–3 (summarizing the allegation).

³ See *id.*

⁴ See Notice of Initiation of Investigation and Interim Measures – EAPA Case Number 7969 (Aug. 13, 2024) (Public Version) (“Notice of Initiation”), available at <https://www.cbp.gov/document/publications/eapa-case-7969-thompson-aluminum-casting-company-inc-notice-initiation> (last accessed Jul. 7, 2025).

⁵ See Magnesium Metal from China: Request for an Investigation under the Enforce and Protect Act of Thompson Aluminum Casting Company Inc. (Mar. 6, 2024) (Public Version) (“Trinity’s Allegation”).

⁶ See *id.*; see also *Magnesium Metal From the People’s Republic of China: Antidumping Duty Order*, 70 Fed. Reg. 19,928 (Dep’t of Commerce Apr. 15, 2005).

⁷ See generally Trinity’s Allegation.

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other shapes, magnesium ground, chipped, crushed, or machined into raspings, granules, turnings, chips, powder, briquettes, and other shapes: Products that contain 50 percent or greater, but less than 99.8 percent, magnesium, by weight, and that have been entered into the United States as conforming to an “ASTM Specification for Magnesium Alloy” and thus are outside the scope of the existing antidumping orders on magnesium from the PRC (generally referred to as “alloy” magnesium).

The scope of the order excludes the following merchandise: (1) All forms of pure magnesium, including chemical combinations of magnesium and other material(s) in which the pure magnesium content is 50 percent or greater, but less than 99.8 percent, by weight, that do not conform to an “ASTM Specification for Magnesium Alloy;” (2) magnesium that is in liquid or molten form; and (3) mixtures containing 90 percent or less magnesium in granular or powder form, by weight, and one or more of certain non-magnesium granular materials to make magnesium-based reagent mixtures, including lime, calcium metal, calcium silicon, calcium carbide, calcium carbonate, carbon, slag coagulants, fluorspar, nepheline syenite, feldspar, alumina (Al₂O₃), calcium aluminate, soda ash, hydrocarbons, graphite, coke, silicon, rare earth metals/mischmetal, cryolite, silica/fly ash, magnesium oxide, periclase, ferroalloys, dolomite lime, and colemanite.

The merchandise subject to the order is currently classifiable under items 8104.19.00 and 8104.30.00 of the Harmonized Tariff Schedule of the United States (“HTSUS”). Although the HTSUS items are provided for convenience and customs purposes, the written description of the subject merchandise is dispositive.⁸

On May 15, 2024, TRLED issued a CBP Form 28 (“CF-28”) request for information to TAC regarding five entries of Mg metal.⁹ On July 1, 2024, TAC provided the requested information regarding three entries of Mg metal.¹⁰ TAC’s response included invoices showing that Turkish supplier [company name] (“Supplier T”) supplied Mg scrap to [company name] (“Supplier A”), and that Supplier A was the Turkish manufacturer of Mg metal ingots for Tigemer, for resale to TAC.¹¹

On July 8, 2024, TAC provided some of the requested documents regarding the remaining two entries of Mg metal. These documents showed that TAC purchased Mg metal ingots from [company name] (“Supplier N”), which, according to TAC, had purchased the Mg metal in some of the entries from [company name] (“Supplier 1”).¹²

⁸ 70 Fed. Reg. at 19,929 (internal citations omitted).

⁹ See May 9 Determination (Business Confidential Version), at 4.

¹⁰ See *id.*

¹¹ See *id.*

¹² See *id.* at 5 (citing TAC Resubmitted CF-28 Response (Sept. 26, 2024) (Business Confidential Version), at 46).

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On August 13, 2024, in accordance with 19 C.F.R. § 165.24, CBP issued a Notice of Initiation of Investigation and Interim Measures (“Notice of Initiation”) to all parties to the investigation.¹³ The Notice of Initiation stated that the investigation had begun on May 8, 2024, and notified the parties of CBP’s decision to take interim measures based upon reasonable suspicion that TAC had entered covered merchandise into the customs territory of the United States through evasion.¹⁴ The entries subject to the investigation are those unliquidated entries of covered merchandise entered from April 17, 2023 through the pendency of the investigation (hereinafter, the “period of investigation” or “POI”).¹⁵

TRLED issued request for information (“RFI”) questionnaires to TAC, Tigemer, Supplier A, Supplier N, and Supplier 1 on August 20, 2024.¹⁶ TAC’s RFI response included information regarding an entry of Mg metal ingots that TAC purchased from Supplier N, which Supplier N had purchased from [company name] (“Supplier 2”).¹⁷ On October 4, 2024, TRLED issued RFI questionnaires to Supplier 2 and Supplier T.¹⁸

TRLED issued supplemental RFI (“SRFI”) questionnaires to Tigemer, Supplier A, Supplier N, Supplier 1, and Supplier 2 on October 4, 2024 and to TAC on October 10, 2024.¹⁹ On December 13, 2024, TRLED issued a second supplemental RFI (“SRFI 2”) questionnaire to Tigemer.²⁰

TRLED also issued a SRFI 2 questionnaire to Supplier A on December 13, 2024.²¹ The SRFI 2 questionnaire to Supplier A requested “the quantity in inventory at the beginning of each month, the quantity consumed, and the quantity of newly purchased Mg scrap and pure Mg.”²² TRLED also requested that Supplier A explain the company’s claim that it produced [#] kilograms (“kg”) of Mg metal ingots in 2023 but purchased only [#] kg of Mg scrap to produce those ingots.²³ Additionally, the SRFI 2 requested certificates of analysis (“COAs”) for Supplier A’s production of Mg metal ingots supplied to TAC, through Tigemer, from April 17, 2023 until December 12, 2024, as well as Supplier A’s monthly inventory of Mg scrap and pure Mg from April 2023 until July 2024.²⁴

¹³ See Notice of Initiation (Public Version), at 2.

¹⁴ See *id.*

¹⁵ See *id.*

¹⁶ See May 9 Determination (Business Confidential Version), at 5 n.34, 8 n. 57–58, 12 n.103–104 (listing the initial RFIs sent by TRLED).

¹⁷ See *id.* at 7.

¹⁸ See *id.* at 9, 13.

¹⁹ See *id.* at 7–9, 13.

²⁰ See *id.* at 13.

²¹ See *id.* at 17.

²² *Id.*

²³ See *id.*

²⁴ See *id.* at 17 (citing CBP’s letter to Supplier A re: EAPA 7969 – Second Supplemental Request for Information (Dec. 13, 2024) (Public Version); CBP’s email to Supplier A, *Supplier A 2nd Supplemental RFI* (Dec. 13, 2024) (Public Version)). According to Trinity, COAs list the percentages of elements contained in an alloy of Mg metal to confirm that the alloy conforms to specification or composition requirements. See Trinity Resubmission of Voluntary Factual Information (Feb. 4, 2025) (Public Version), at 25.

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Supplier A's SRFI 2 response provided the company's monthly purchases of Mg scrap, pure Mg, and Mg metal ingots.²⁵ Supplier A, however, failed to provide the requested information regarding its monthly inventory or monthly consumption of raw materials.²⁶ With respect to TRLED's request for clarification regarding the discrepancy between Supplier A's production volume in 2023 and its purchases of Mg scrap that same year, Supplier A claimed that it used Mg scrap leftover from 2021 and 2022, but provided no support for this claim.²⁷ As for the requested COAs, Supplier A submitted documents entitled, "[document]," as well as 470 test results showing the chemical composition of the tested magnesium.²⁸ These documents did not indicate the nature of the product tested (*e.g.*, scrap, ingots, anodes, or other products) or include a heat number, production quantity, furnace number, time, or other information connecting the product tested to specific production batches.²⁹

On December 30, 2024, TRLED issued a third SRFI ("SRFI 3") to Supplier A requesting: records on monthly Mg scrap inventory, purchases, and consumed in production; an itemized list of annual, quarterly, or monthly production costs such as labor, raw materials, electricity, shipping, taxes, and overhead; an explanation on the meaning of [commercial info.], [commercial info.], and [commercial info.] derived from Attachment 3 of Supplier A's SRFI 2 response; information on storage and resale of [product]; Supplier A's policy for tracing COAs to production batches, melts, or heats; and information regarding the quantity of Mg metal ingots that Supplier A produced in a single heat or batch from a single furnace or crucible.³⁰ Supplier A's SRFI 3 response provided its monthly inventory and other requested documentation but did not provide the monthly Mg scrap consumption or annual production costs.³¹ Additionally, Supplier A explained that it did not create [document and explanation], but routinely conducted [description of production process].³²

On January 24, 2025, TRLED issued a fourth SRFI ("SRFI 4") questionnaire to Supplier A, a SRFI 3 questionnaire to Tigemer, and a SRFI questionnaire to Supplier T.³³ All three companies submitted timely responses on January 29, 2025.³⁴

Trinity filed voluntary factual information ("VFI") submissions on November 13, 2024 and December 2, 2024.³⁵ The November 13 VFI submission contained a report from a metallurgist who claimed that the standard industry practice for Mg metal manufacturers was to

²⁵ See May 9 Determination (Business Confidential Version), at 17.

²⁶ See *id.*

²⁷ See *id.*

²⁸ See *id.*

²⁹ See *id.* at 17–18.

³⁰ See TRLED EAPA 7969 Second Supplemental Request for Information to Supplier A (Dec. 30, 2024) (Business Confidential Version).

³¹ See May 9 Determination (Business Confidential Version), at 19–20.

³² See Supplier A SRFI 3 Response (Business Confidential Version), at 10–11.

³³ See May 9 Determination (Business Confidential Version), at 20.

³⁴ See *id.*

³⁵ See *id.* at 21–22. TRLED rejected Trinity's December 2, 2024 VFI submission, which Trinity later refiled on February 4, 2025. See *generally* Trinity Resubmission of Voluntary Factual Information (Public Version).

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issue COAs for every small melting furnace.³⁶ The metallurgist explained that a COA lists all of the percentages of the metals contained in an alloy ingot and a Mg metal ingot manufacturer always provides COAs to customers “to confirm that the ingot conforms to the required specification or alloy composition.”³⁷ The December 2 VFI submission included information regarding industry standards for recycling Mg scrap.³⁸

On December 4, 2024, TAC filed two documents: a VFI submission and, separately, comments regarding Trinity’s status as an interested party.³⁹ The VFI submission contained documents to support TAC’s assertion that Supplier A, Supplier N, and Supplier 1 each had the capability and capacity to produce Mg metal ingots from recycled Mg scrap.⁴⁰ The other submission provided documents to support TAC’s assertion that Trinity was not a domestic producer or wholesaler of Mg metal, and therefore did not qualify as an “interested party” under the statute to submit an EAPA allegation.⁴¹

On December 18, 2024, TAC submitted rebuttal factual information explaining why it was not necessary to have COAs for every melting furnace and provided affidavits to establish that Supplier A was capable of producing the type of Mg metal ingots that TAC required from scrap Mg metal instead of pure Mg.⁴²

On December 23, 2024, Trinity submitted rebuttal information regarding the alleged country of origin of Mg metal from Supplier N (produced by Supplier 1).⁴³ Trinity also submitted rebuttal factual information to support its qualifications as a domestic producer and wholesaler of Mg metal.⁴⁴

TRLED conducted on-site verifications in Turkey at the facilities of Tigemer, Supplier A, and Supplier T from February 27, 2025 to March 6, 2025.⁴⁵

On May 9, 2025, TRLED found that there was substantial evidence that TAC imported Chinese-origin Mg metal from Supplier A into the United States by transshipment through Turkey resulting in evasion of the AD Order.⁴⁶ Additionally, TRLED applied adverse inferences to Supplier A, finding that Supplier A “made multiple false, incomplete, or misleading

³⁶ See May 9 Determination (Business Confidential Version), at 22. TRLED was able verify the production of Mg metal ingots by Supplier 2 using a COA in addition to an invoice, packing list, and Bill of Lading. *See id.* at 56.

³⁷ Trinity Resubmission of Voluntary Factual Information (Public Version), at 25.

³⁸ See May 9 Determination (Business Confidential Version), at 22.

³⁹ *See id.* at 22.

⁴⁰ *See id.*

⁴¹ *See id.* at 23.

⁴² *See id.* at 24–25.

⁴³ *See id.* at 26. TRLED rejected Trinity’s rebuttal submission, which Trinity later refiled on February 7, 2025. *See generally* Trinity Resubmission of Rebuttal Factual Information (Feb. 7, 2025) (Public Version).

⁴⁴ See May 9 Determination (Business Confidential Version), at 27.

⁴⁵ *See id.* at 28.

⁴⁶ *See id.* at 50.

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statements on the record of this {EAPA} investigation.”⁴⁷ TRLED also found no substantial evidence of evasion as to TAC’s imports of Mg metal from Supplier N.⁴⁸

On June 24, 2025, TAC timely submitted a request for administrative review. On June 25, 2025, RR sent an email to all parties to the investigation, notifying them of the commencement of the administrative review process and the assignment of RR case number H349741. On July 9, 2025, Trinity timely filed a response to the request for administrative review.

II. Law & Analysis

Section 517 of the Tariff Act of 1930, as amended (19 U.S.C. § 1517), provides, “with respect to covered merchandise, the Commissioner shall make a determination, based on substantial evidence, with respect to whether such covered merchandise was entered into the customs territory of the United States through evasion.”⁴⁹ The term evasion is defined as:

Except as provided in subparagraph (B), the term “evasion” refers to entering covered merchandise into the customs territory of the United States by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the merchandise.⁵⁰

Examples of evasion include, but are not limited to, misrepresentation of the merchandise’s true country of origin (*e.g.*, through false country of origin markings on the product itself or false sales), false or incorrect shipping and entry documentation, or misreporting of the merchandise’s physical characteristics.⁵¹

Additionally, covered merchandise is defined as “merchandise that is subject to a CVD order issued under section 706, Tariff Act of 1930, as amended (19 U.S.C. § 1671e), and/or an AD order issued under section 736, Tariff Act of 1930, as amended (19 U.S.C. § 1673e).”⁵² While “substantial evidence” is not defined by statute, the “substantial evidence” standard has been reviewed by the courts in relation to determinations by other agencies. “Substantial evidence requires more than a mere scintilla but is satisfied by something less than the weight of the evidence.”⁵³

⁴⁷ *Id.* at 38.

⁴⁸ *See id.* at 36. Neither TAC nor Trinity requested review of TRLED’s determination of no evasion as to Supplier N. Accordingly, this decision does not address imports sourced from Supplier N.

⁴⁹ 19 U.S.C. § 1517(c)(1).

⁵⁰ 19 U.S.C. § 1517(a)(5); *see also* 19 C.F.R. § 165.1.

⁵¹ *See Investigation of Claims of Evasion of Antidumping and Countervailing Duties, Interim Regulations*, 81 Fed. Reg. 56,477, 56,478 (CBP Aug. 22, 2016).

⁵² 19 C.F.R. § 165.1.

⁵³ *See Altx, Inc. v. United States*, 370 F.3d 1108, 1116 (Fed. Cir. 2004) (internal citations and quotation marks omitted).

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Therefore, CBP must determine whether a party has entered merchandise that is subject to an AD or countervailing duty (“CVD”) order into the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act, that is material and false, or any omission that is material, that resulted in the reduction or avoidance of applicable cash deposits or antidumping or countervailing duties being collected on such merchandise. In doing so, CBP may apply adverse inferences where they are warranted.⁵⁴ RR’s determination as to evasion must be supported by substantial evidence.

A. TAC’s Arguments

TAC requests that the May 9 Determination finding evasion be reversed with regard to TAC’s importations of Mg metal ingots sourced from Supplier A, for the following reasons: (1) the EAPA investigation was marred by Trinity’s multiple false statements and material omissions in the investigation; (2) Trinity is not an interested party and therefore lacked standing to file an evasion allegation; (3) substantial evidence does not support a finding of evasion as to Mg metal ingots imported by TAC from Supplier A; (4) TRLED’s determination of evasion is not in accordance with law because adverse inferences were incorrectly applied to Supplier A; and (5) TAC exercised reasonable care to fulfill its responsibilities involving entry of Mg metal ingots.⁵⁵

First, TAC claims that TRLED would not have initiated this EAPA investigation had Trinity not “falsely claimed it had no knowledge of any Turkish companies that could or did produce AZ91E ingots.”⁵⁶ TAC claims that this knowledge is important because but for Trinity’s false statements and material omissions of fact regarding certain TAC suppliers, TRLED never would have initiated an investigation. As evidence of this claim, TAC attached to its administrative review request email correspondence between Trinity and Supplier 1 and email correspondence between Trinity and Tigemer.⁵⁷ According to TAC, despite its request for leave to submit these materials “out of time” on February 27, 2025, TRLED rejected TAC’s request “in a cursory fashion.”⁵⁸ TAC argues that RR should now accept these communications, which TAC claims demonstrate that Trinity’s subsequent submissions “were premised on false statements and material omissions of fact.”⁵⁹

Second, TAC asserts that Trinity lacked standing to file an EAPA allegation because Trinity was not an interested party and did not establish its status as a producer or wholesaler of domestic like product.⁶⁰ TAC describes Trinity as “a company that buys scrap, cleans it, and resells it.”⁶¹ According to TAC, Trinity cited to no authority that “cleaned scrap” constitutes domestic like product, and that neither the U.S. International Trade Commission (“ITC”) nor Commerce found Trinity to have interested party status in their proceedings regarding Mg

⁵⁴ See 19 C.F.R. § 165.6.

⁵⁵ See generally TAC’s Administrative Review Request (Jun. 24, 2025) (Business Confidential Version).

⁵⁶ *Id.* at 7 (citing Trinity Additional Voluntary Factual Information (Dec. 2, 2024) (Business Confidential Version), at Ex. 16).

⁵⁷ See TAC’s Administrative Review Request (Business Confidential Version), at 7–8.

⁵⁸ *Id.* at 7.

⁵⁹ *Id.*

⁶⁰ See *id.* at 8–9.

⁶¹ *Id.* at 8–9.

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metal.⁶² TAC also argues that Trinity was not a recycler of Mg metal as defined by the ITC, and that “Trinity never proved that it actually [production process] as alleged in its Supplemental Allegation.”⁶³ On this basis alone, TAC contends that “R&R must reverse TRLED’s finding of evasion.”⁶⁴

Third, TAC alleges that there is no substantial evidence of evasion inasmuch as “there is no affirmative evidence on the record” and “zero evidence of actual transshipment uncovered in this proceeding.”⁶⁵ TAC maintains that contrary to TRLED’s findings, the record demonstrates that Supplier A: was capable of producing Mg metal ingots “in adequate quantities”; purchased sufficient quantities of non-Chinese origin Mg scrap to fulfill TAC’s orders of Mg metal ingots; and tied its monthly production of AZ91 alloy reported in its SFRI 3 response to its monthly production records.⁶⁶ TAC argues that TRLED instead “relied entirely on adverse inferences to reach a finding of evasion” that were “based on TRLED’s own speculation, not facts,” which is not “substantial evidence.”⁶⁷

Fourth, TAC argues that the May 9 Determination is not in accordance with law, in part, because the application of adverse inferences against Supplier A was inappropriate.⁶⁸ TAC asserts that Supplier A “informed TRLED that it d{id} not keep monthly inventory records in the normal course of business” and that such information was provided following TRLED’s “threat” to apply an inference adverse to Supplier A’s interests.⁶⁹ TAC claims that “minor accounting discrepancies” that TRLED identified did not warrant the application of an adverse inference against Supplier A.⁷⁰

TAC asserts that “two instances” exist in which CBP may draw adverse inferences, neither of which applies here: “(1) failure to cooperate and comply to the best of its ability with CBP’s requests for information; and (2) making of material false or misleading statements or omissions.”⁷¹ TAC states that CBP has declined to apply adverse inferences where there were logical explanations for the identified inconsistencies, as is the case here, where “{t}he suppliers are small companies with very small administrative staffs and limited internal administrative resources.”⁷² TAC also asserts that CBP has found it inappropriate to apply adverse inferences for certain delays to produce requested information or where the requested records did not exist or were not kept in the normal course of business.⁷³ TAC compares such evidence of Supplier A’s production capacity to the facts underlying the decision of the U.S. Court of International

⁶² See *id.* at 9.

⁶³ *Id.* (quoting Trinity’s Supplemental Allegation (Mar. 26, 2024) (Business Confidential Version), at Ex. C).

⁶⁴ See TAC’s Administrative Review Request (Business Confidential Version), at 9.

⁶⁵ *Id.* at 10; see also *id.* at 26.

⁶⁶ See *Id.* at 10–11, 22–25.

⁶⁷ *Id.* at 10; see also *id.* at 26 (quoting *Am. Kitchen Cabinet All. v. United States*, 745 F. Supp. 3d 1270, 1280 (Ct. Int’l Trade 2024) (citing *Consol. Edison Co. v. NLRB*, 305 U.S. 197, 229 (1938))).

⁶⁸ See *id.* at 13–20.

⁶⁹ *Id.* at 13–14; see also *id.* at 18–19.

⁷⁰ *Id.* at 11–12.

⁷¹ *Id.* at 27.

⁷² *Id.* (citing EAPA Case No. 7348, Final Remand Redetermination) (June 13, 2022) (Public Version)).

⁷³ See TAC’s Administrative Review Request (Business Confidential Version), at 28 (citing EAPA Case No. 7705, Final Administrative Determination (June 12, 2023) (Public Version), at 11–13; EAPA Case No. 7705, Remand Redetermination (Jan. 30, 2025) (Public Version), at 3–9; *Am. Kitchen Cabinet All.*, 745 F. Supp. 3d at 1284)).

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Trade (“CIT”) in *H&E Home, Inc. v. United States*, 714 F. Supp. 3d 1353, 1366 (Ct. Int’l Trade 2024), where RR determined on remand that the record contained evidence regarding the foreign supplier’s production capacity and capability.⁷⁴ Further, TAC argues that the record contains evidence that contradicts the adverse inferences that TRLED applied.⁷⁵

Fifth, TAC also argues that it exercised reasonable care to fulfill its responsibilities involving entry of Mg metal ingots.⁷⁶ In this regard, TAC claims that the record evidence establishes that TAC exercised reasonable care to verify its suppliers of Mg metal ingots and to properly enter merchandise as country of origin Turkey.⁷⁷ TAC explains that it received Certificates of Origin stamped by the Istanbul Chamber of Commerce for each entry of Mg metal (except for the trial shipment), and had planned on two occasions to visit the Turkish producers (those plans were cancelled due to the COVID-19 pandemic and the war in Ukraine).⁷⁸ TAC contends that even if it failed to exercise reasonable care as TRLED concluded, such a finding “could not be ‘material’” because the paperwork underlying TRLED’s finding “related to entries and suppliers other than those for which evasion was found.”⁷⁹

For these reasons, TAC requests that the May 9 Determination be reversed.

B. Trinity’s Arguments

Trinity requests that RR affirm the May 9 Determination as to Mg metal ingots sourced from Supplier A for the following reasons: (1) TAC’s request for administrative review should have been rejected for failing to comply with EAPA regulatory requirements; (2) Trinity qualifies as an interested party under EAPA; (3) TRLED properly applied adverse inferences to Supplier A; (4) substantial evidence supports TRLED’s determination of evasion; and (5) TAC did not use reasonable care when importing Mg metal into the United States.⁸⁰

First, Trinity asserts that TAC’s request for administrative review should be rejected because it attached a document that TRLED had rejected as an untimely submission.⁸¹ Therefore, TAC’s request for administrative review improperly included information that “is not part of the administrative record.”⁸²

Second, Trinity claims that the record evidence supports its status as an interested party, both as a producer and a wholesaler of domestic like product, and that determinations by the ITC and Commerce in unrelated proceedings are irrelevant to the interested party status in an EAPA proceeding.⁸³ Trinity asserts that TAC misdescribed Trinity’s operations in the United States, where Trinity utilizes a “patented and proprietary process to remove contaminants from the scrap

⁷⁴ See *id.* at 26–27.

⁷⁵ See TAC’s Administrative Review Request (Business Confidential Version), at 29.

⁷⁶ See *id.* at 21–22.

⁷⁷ See *id.* at 21.

⁷⁸ See *id.*

⁷⁹ *Id.* at 22.

⁸⁰ See generally Trinity’s Response (Jul. 9, 2025) (Business Confidential Version).

⁸¹ See *id.* at 6.

⁸² *Id.* at 7.

⁸³ See *id.* at 7–8, 10–11.

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and then sells the magnesium metal as a direct substitute for magnesium alloy ingots.”⁸⁴ Additionally, Trinity argues that, in the underlying AD investigation, the ITC found grinders to qualify as a type of Mg metal producer, even though they neither melt nor cast ingots.⁸⁵ Trinity also contends that its lack of participation in the underlying AD investigation “is not a basis for asserting what the ITC and/or Commerce may have done if Trinity had participated.”⁸⁶ Furthermore, Trinity highlights that “the ITC and Commerce apply their own definitions of ‘interested party’ that are unique to those agencies.”⁸⁷

Third, Trinity argues that the record supports TRLED’s application of adverse inferences against Supplier A.⁸⁸ Trinity points to examples identified by TRLED “where Supplier A hindered the investigation,” resulting in TRLED’s conclusion that it could not rely on information provided by Supplier A.⁸⁹ Trinity asserts that TRLED’s finding regarding the reliability of Supplier A’s information is distinguishable from *H&E Home*, where RR concluded on remand that the foreign supplier’s production data was reliable and uncontradicted by other record evidence.⁹⁰ Trinity further states that in *H&E Home*, the CIT explained that, by statute, CBP has authority to decide whether the application of an adverse inference is warranted.⁹¹

Fourth, Trinity asserts that substantial evidence supports TRLED’s finding of evasion.⁹² Trinity states that record evidence demonstrates that Supplier A’s Mg scrap purchase and consumption data were unreliable; Supplier A’s COAs — which did not tie directly to specific production batches — did not constitute evidence of production; and Supplier A acknowledged that it purchased [country] Mg metal ingots and pure Mg during the POI, establishing Supplier A’s connection to China.⁹³ Trinity also states that substantial evidence does not support TAC’s claim that it imported Turkish-origin Mg metal ingots from Tigemer because, as TRLED found, “Supplier A could not provide any documents to validate the accuracy of its daily, handwritten, production records because it does not maintain records of raw material consumption, and its test certificates do not tie to specific production batches or record daily production quantities.”⁹⁴

Finally, Trinity claims that TAC failed to exercise reasonable care when importing Mg metal into the United States, as evidenced by a record that “is replete with errors, misstatements and inaccuracies” regarding TAC’s entry documentation.⁹⁵ Specifically, Trinity discusses TAC’s acknowledged lack of written policies or procedures regarding antidumping and countervailing duties; the fact that TAC did not visit its Mg metal suppliers prior to importation;

⁸⁴ *Id.* at 8.

⁸⁵ *See id.* at 8–9 (citing May 9 Determination (Business confidential Version), at 26–27).

⁸⁶ Trinity’s Response (Business Confidential Version), at 10.

⁸⁷ *Id.*

⁸⁸ *See id.* at 11–12.

⁸⁹ *Id.* at 12–13.

⁹⁰ *See id.* at 14.

⁹¹ *See id.* at 15.

⁹² *See id.* at 16.

⁹³ *See id.* at 16–23.

⁹⁴ *Id.* at 24 (quoting May 9 Determination) (internal quotation marks omitted)).

⁹⁵ *Id.* at 25.

TRLED's finding that TAC had a history of misclassifying [type] Mg as [type] Mg; and that TAC declared the wrong country of origin on another entry.⁹⁶

III. Administrative Review Analysis

Pursuant to 19 U.S.C. § 1517(f)(1) and 19 C.F.R. § 165.45, upon request for administrative review, RR will apply a *de novo* standard of review under the law, based solely upon the facts and circumstances on the administrative record in the proceeding. In making our determination, RR reviewed the following materials: (1) the administrative record upon which the May 9 Determination was made; and (2) the timely and properly filed request for review and response thereto.

The purpose of this *de novo* review is to analyze the May 9 Determination and the accompanying record to determine whether substantial evidence of evasion exists. Substantial evidence review “requires examination of the ‘record as a whole, taking into account both the evidence that justifies and detracts from an agency’s opinion.’”⁹⁷ Upon consideration of the record as a whole, we find that there is substantial evidence of evasion as to TAC’s imports sourced from Supplier A, for the reasons set forth below.

A. Trinity has standing to file an allegation in this EAPA investigation due to its status as an interested party under the EAPA statute.

TAC argues that Trinity did not qualify as an “interested party” that had standing to file an EAPA allegation because Trinity did not establish its status as a producer or wholesaler of domestic like product.⁹⁸ We disagree.

An EAPA allegation may be submitted to CBP “by an interested party{.}”⁹⁹ The definition of an “interested party” includes “a manufacturer, producer, or wholesaler in the United States of a domestic like product{.}”¹⁰⁰ For purposes of this definition, the term “domestic like product” means “a product that is like, or in the absence of like, most similar in characteristics and uses with, covered merchandise.”¹⁰¹

The administrative record contains sufficient support of Trinity’s status as a domestic producer or wholesaler of Mg metal. Trinity provided an affidavit regarding its purchases of “[product and description of business]”¹⁰² Trinity also provided screenshots of its website whereby Trinity stated that it “sells ‘90/10’ Mg ingots (ingots with a 90% Mg content, which would be covered by the scope of the AD Order) and ‘Pure 99.8%’ Mg ingots in the

⁹⁶ See *id.* at 25–26.

⁹⁷ *Intelligent Bio-Systems, Inc. v. Illumina Cambridge, Ltd.*, 821 F.3d 1359, 1366 (Fed. Cir. 2016) (quoting *In re Gartside*, 203 F.3d 1305, 1312 (Fed. Cir. 2001)).

⁹⁸ TAC’s Administrative Review Request (Business Confidential Version), at 8–9.

⁹⁹ 19 U.S.C. § 1517(b).

¹⁰⁰ 19 U.S.C. § 1517(a)(6)(A)(ii).

¹⁰¹ *Id.* at § 1517(a)(6)(B).

¹⁰² May 9 Determination (Business Confidential Version), at 46 (quoting Trinity’s Supplemental Allegation (Mar. 26, 2024) (Business Confidential Version), at Ex. C at p. 1) (internal quotation marks omitted)).

Allegation Supplement.”¹⁰³ Additionally, the record contains a marketing presentation that describes Trinity as a “Midwest regional non-ferrous recycler and wholesaler.”¹⁰⁴ Moreover, there is record evidence that TAC itself [description of business considerations].¹⁰⁵ Furthermore, we agree with Trinity that TAC’s speculation about what the ITC or Commerce would do is not appropriate in determining whether Trinity had standing to file an allegation in the context of an EAPA investigation because, as Trinity stated, determinations by the ITC and Commerce in unrelated proceedings are irrelevant to interested party status in an EAPA proceeding.

Based on this information, we find that Trinity is an “interested party” under 19 U.S.C. § 1517 that has standing to submit an EAPA allegation in this case.

B. The record as a whole supports a finding of evasion of the AD Order.

RR hereby determines that the record demonstrates that TAC entered covered merchandise from Supplier A through evasion. The outcome of our administrative review rests on whether TAC purchased Chinese-origin Mg metal ingots from Supplier A. We conclude that the record supports the application of an adverse inference to find that Supplier A sold Chinese-origin Mg metal ingots to TAC. This conclusion is further supported by the record evidence showing that Supplier A lacked the necessary mechanisms to track its raw material usage (*e.g.*, Mg scrap) or its production of Mg metal ingots that were sold to TAC, and that Supplier A utilized unmarked, commingled Mg scrap to produce Mg metal ingots. Moreover, the record establishes the presence of [country] Mg metal ingots at Supplier A’s facility. Thus, TAC cannot support its claim that it entered only Turkish-origin Mg metal ingots into the United States. Thus, TAC entered the merchandise in question by means of material and false documents or electronically transmitted data or information, written statements, or material omissions by entering covered merchandise on type “01” consumption entries instead of on type “03” AD/CVD entries and omitting the relevant AD case number from the entry summary documentation.

1. Mg metal ingots and Mg scrap are described by the plain scope language of the AD Order.

The scope language defines Mg metal as “primary and secondary alloy magnesium metal, regardless of chemistry, raw material source, form, shape, or size.”¹⁰⁶ The scope language further states that Mg metal subject to the AD Order includes, but is not limited to:

magnesium cast into ingots, slabs, rounds, billets, and other shapes, magnesium ground, chipped, crushed, or machined into raspings, granules, turnings, chips, powder, briquettes, and other shapes: Products that contain 50 percent or greater, but less than 99.8 percent, magnesium, by weight, and that have been entered into the United States as conforming to an “ASTM Specification for Magnesium Alloy”

¹⁰³ May 9 Determination (Business Confidential Version), at 46 (quoting Trinity Supplemental Allegation (Business Confidential Version) at Ex. C at p. 1).

¹⁰⁴ May 9 Determination (Business Confidential Version), at 46 (internal citation omitted).

¹⁰⁵ See TAC RFI Response (Business Confidential Version), at 23.

¹⁰⁶ 70 Fed. Reg. at 19,929.

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and thus are outside the scope of the existing antidumping orders on magnesium from the PRC (generally referred to as “alloy” magnesium).¹⁰⁷

Here, TAC imported into the United States six shipments of Mg metal ingots (AZ91E alloy) from Supplier A between May 6, 2023, and June 6, 2024.¹⁰⁸ AZ91 is a “family” of Mg metal alloy with specific defined chemical compositions and defined tolerances.¹⁰⁹ AZ91E alloy contains between 88.8 to 91.3 percent magnesium and is an alloy covered by the ASTM specifications.¹¹⁰ Therefore, the Mg metal ingots that TAC imported are described by the plain scope language of the AD Order.

In addition, the record demonstrates that Supplier A purchased Mg scrap for use as a raw material to produce the Mg metal ingots it sold to TAC.¹¹¹ The Mg scrap itself fits the plain scope language of the AD Order because it consists of [] product description.¹¹²

Neither TAC nor Trinity disputes that the Mg metal ingots and Mg scrap here at issue meet the plain language of the scope of the AD Order.¹¹³ There is no dispute that melting of Mg scrap to produce Mg metal ingots would remove it from the scope of the AD Order.¹¹⁴ Rather, TAC argues that all of the Mg metal ingots it received from Supplier A were produced in Turkey from non-Chinese-origin Mg scrap.¹¹⁵ Thus, the outcome of this administrative review rests on whether the Mg metal ingots that TAC purchased from Supplier A were of Turkish origin, or of Chinese origin, and thus, constitute covered merchandise under EAPA.

2. Substantial evidence supports the application of an adverse inference to find that Supplier A sold Chinese-origin Mg metal ingots to TAC.

Supplier A failed to cooperate with CBP’s information requests by providing incomplete, inconsistent, and unreliable responses to CBP. Accordingly, TRLED’s application of an adverse inference against Supplier A to find that TAC’s imports of Mg metal from Supplier A contained covered merchandise was warranted.

Pursuant to 19 C.F.R. § 165.6(a):

{i}f a party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and

¹⁰⁷ *Id.*

¹⁰⁸ See TAC RFI Response (Oct. 4, 2024) (Business Confidential Version), at 33, Attach. 10 at 407; *see also* Supplier A SRFI 1 Response (Dec. 20, 2024) (Business Confidential Version), at 23, Attach. 1–6.

¹⁰⁹ See Supplier A SRFI Response (Business Confidential Version), at 42–43.

¹¹⁰ See TRLED Memo to the File (Mar. 12, 2025) (Public Version), at 3–8, 28. AZ91D contains between 88.643 to 91.043 percent magnesium and is also an alloy covered by the ASTM specifications. *See id.* at 4.

¹¹¹ See Supplier A SRFI Response (Business Confidential Version), at 54–57, 66, Attach. 22 at 1.

¹¹² *See id.* at Attach. 1 at 1, Attach. 2 at 1, Attach. 3 at 1, Attach. 4 at 1, Attach. 5 at 1, Attach. 6 at 1, Attach. 22 at 1.

¹¹³ *See generally* TAC’s Administrative Review Request (Business Confidential Version); Trinity’s Response (Business Confidential Version).

¹¹⁴ *See generally* TAC’s Administrative Review Request (Business Confidential Version); Trinity’s Response (Business Confidential Version).

¹¹⁵ See TAC’s Administrative Review Request (Business Confidential Version), at 10–11.

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comply to the best of its ability with a request for information made by CBP, CBP may apply an inference adverse to the interests of that party in selecting from among the facts otherwise available to make the determination as to evasion pursuant to § 165.27 and subpart D of this part.¹¹⁶

Additionally, CBP may apply an adverse inference against an importer, the foreign manufacturer, or an exporter of covered merchandise irrespective of whether another party involved in the same transaction provided the information requested by CBP.¹¹⁷ In other words, CBP may apply an adverse inference to a party for its failure to cooperate regardless of whether the information being sought exists elsewhere on the record.¹¹⁸

The “best of its ability” standard requires a party to “put forth its maximum effort” to provide CBP with “full and complete answers to all inquiries in an investigation.”¹¹⁹ As such, a party’s “failure to adequately maintain records is a failure to act to the best of its ability” that may warrant the application of an adverse inference.¹²⁰ Courts have also upheld the application of an adverse inference where the information provided in questionnaire responses was “inconsistent and unreliable” and, even if ultimately usable, “could not be used without undue difficulty.”¹²¹

A review of the record reveals several deficiencies and inconsistencies in Supplier A’s RFI and verification responses. For example, Supplier A stated that it only purchased scrap from Supplier T; however, the sales invoice quantities that Supplier T provided at verification do not show any sales in several months when Supplier A reported purchasing scrap.¹²² Additionally, Supplier A’s reported purchases of [#] kg of Mg scrap in [date] from Supplier T cannot be substantiated because neither Supplier A nor Supplier T could provide the corresponding invoices and purchase order during verification.¹²³ Meanwhile, the invoices that Supplier T did provide to CBP show that Supplier A purchased [#] kg of [type] and not Mg scrap as Supplier A reported.¹²⁴ Moreover, Supplier A listed two (different) scrap consumption efficiency factors, [#] and [#], in the same submission.¹²⁵ These

¹¹⁶ See also 19 U.S.C. § 1517(c)(3)(A) (providing CBP authority to apply to certain uncooperative parties or persons).

¹¹⁷ See 19 U.S.C. § 1517(c)(3)(B); 19 C.F.R. § 165.5(c).

¹¹⁸ See also *CEK Grp. LLC v. United States*, 633 F. Supp. 3d 1369, 1379 (Ct. Int’l Trade 2023) (finding that “whether a gap exists is not necessarily determinative” to CBP’s decision to apply adverse inferences).

¹¹⁹ *Kumar Indus. v. United States*, Ct. No. 23-00263, 2025 Ct. Intl. Trade LEXIS 53, at *29 (Ct. Int’l Trade Apr. 23, 2025) (citing *Nippon Steel Corp. v. United States*, 337 F.3d 1373, 1383 (Fed. Cir. 2003)); see also *Qingdao Sea-Line Int’l Trading Co. v. United States*, 503 F. Supp. 3d 1355, 1370 (Ct. Int’l Trade 2021). Although these cases dealt with Commerce’s adverse inference authorities, they are instructive here because the EAPA statute and regulations also include the “best of {its} ability” standard.

¹²⁰ *Kumar Indus.*, 2025 Ct. Intl. Trade LEXIS 53, at *29 (upholding Commerce’s application of adverse inferences against Kumar for failing to maintain records) (citing *Nippon Steel Corp.*, 337 F.3d at 1382; *Xi’an Metals & Mins. Imp. & Exp. Co. v. United States*, 50 F.4th 98, 108 (Fed. Cir. 2022)).

¹²¹ *Qingdao Sea-Line Int’l Trading Co.*, 503 F. Supp. 3d at 1358–59, 1371 (citing *Mukand, Ltd. v. United States*, 767 F.3d 1300, 1304 (Fed. Cir. 2014)).

¹²² See Verification Report (Business Confidential Version), at 30.

¹²³ See *id.* at 17, 30.

¹²⁴ See *id.* at 17 (citing Supplier A SRFI 3 Response (Business Confidential Version), at Ex. 1).

¹²⁵ See Verification Report (Business Confidential Version), at 31 (citing Supplier A SRFI Response (Business Confidential Version), at 47, 49).

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discrepancies as to key facts related to alleged scrap purchases by Supplier A justify drawing an adverse inference as to the claim that Supplier A sold to TAC only Mg metal ingots made from non-Chinese-origin scrap (the facts otherwise available are discussed in the sections below).

Further, RR has concerns about the reliability of the information Supplier A provided in this EAPA investigation. For instance, according to Supplier A, upon receipt of a purchase order, Tigemer [description of record keeping].¹²⁶ However, Supplier A's daily handwritten production records did not include [information], leaving Supplier A without the means to connect the production records to those purchase orders.¹²⁷ Moreover, Supplier A admitted that [purchase information], Supplier A declared only [shipping information].¹²⁸ As a result, TAC's entry summary documentation reflected inaccurate information.¹²⁹

Supplier A's deficient, inconsistent, and unreliable responses to CBP's information requests amount to a failure to cooperate and comply to the best of its abilities with CBP's requests for information. Under these circumstances, CBP may apply an adverse inference against Supplier A for "fail{ing} to cooperate by not acting to the best of {its} ability to comply with a request for information."¹³⁰

Supplier A bears the responsibility to ensure that the information included in its submissions to CBP is accurate and complete.¹³¹ As a result of the above-described issues, RR is unable to rely on the accuracy and completeness of Supplier A's submissions. As such, the administrative record does not support TAC's claims that Supplier A sold only non-Chinese-origin Mg metal ingots to TAC. To the contrary, as detailed below, the record evidence shows that Supplier A had ties to [country] suppliers of Mg metal ingots and pure Mg, did not maintain production or raw material consumption records necessary to track its raw material usage through production, and fulfilled orders for Mg metal ingots from unmarked bags of Mg scrap. Therefore, the adverse inference that Supplier A sold covered merchandise to TAC is supported by the record.

3. Supplier A maintained business relationships with [country] suppliers of Mg metal ingots and pure Mg during the period of investigation.

TAC cannot substantiate its claim that Supplier A used only non-Chinese Mg scrap to produce all of the Mg metal ingots it sold to TAC, despite Supplier A's capability to manufacture such merchandise in Turkey.¹³² Indeed, the record evidence demonstrates that Supplier A had

¹²⁶ See Supplier A SRFI 3 Response (Business Confidential Version), at 9–10.

¹²⁷ See Verification Report (Business Confidential Version), at 8 & Ex. 3 at pp. 12–69.

¹²⁸ See Supplier A SRFI 3 Response (Business Confidential Version), at 14.

¹²⁹ See TAC RFI Response (Business Confidential Version), at Ex. 10 at pp. 470, 522, 569, 614, 699.

¹³⁰ 19 U.S.C. §§ 1517(c)(2)(A), (3)(A); see also 19 C.F.R. § 165.6(a); *All One God Faith, Inc.*, 589 F. Supp. 3d at 1251 (finding that "CBP's application of adverse inferences was not arbitrary, capricious, or an abuse of discretion").

¹³¹ See 19 C.F.R. § 165.5(b)(2)(i) (requiring a party submitting information to CBP in an EAPA investigation to certify that the information in the submission is "accurate and true" to the best of the party's knowledge and belief).

¹³² See *id.*

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business relationships with [country] suppliers of Mg metal ingots and pure Mg throughout the period of investigation. This evidence further supports the adverse inference that Supplier A sold covered merchandise to TAC.

Between [date] and [date], Supplier A purchased [#] kg of pure Mg and Mg metal ingots from [# and cntry.] companies.¹³³ One such purchase occurred in [date], during the POI, whereby Supplier A purchased [# and country] Mg metal ingots (specifically, AZ91 alloy) from [company name].¹³⁴ The record shows that Supplier A's business relationship with [company name] dated from at least [date] and continued through at least [date], with Supplier A purchasing [#] kg of pure Mg and Mg metal ingots.¹³⁵

Supplier A's purchase of Mg metal ingots from [cntry.] is evidence supporting a finding of evasion, contrary to TAC's assertions.¹³⁶ Although Supplier A's [date] purchase of Mg metal [description] its sales of Mg metal ingots to TAC, Supplier A had an ongoing business relationship with [company name] before that purchase and during the same time frame in which TAC purchased Mg metal ingots from Supplier A.¹³⁷

In addition, Supplier A's explanation for importing Mg metal ingots from [country] finds no support in the record. During the on-site verification, Supplier A stated that it imported this material pursuant to a warranty agreement for a new [type] machine that Supplier A planned to purchase, which would be used in a new facility being constructed nearby.¹³⁸ Supplier A, however, was unable to provide any documentation regarding this agreement or its terms.¹³⁹ TRLED also observed that the facility that would house the new [type] machine was "visibly incomplete."¹⁴⁰ Further, at the time of the verification, Supplier A had not yet purchased the new [type] machine due to a lack of money to pay for it.¹⁴¹ Taking these facts together, Supplier A purchased Mg metal ingots from [country] more than a year before the on-site verification occurred, prior to its purchase of the new [type] machine that purportedly required use of the Mg metal from [cntry.] per a warranty agreement (that is not part of the administrative record), and before completion of the facility in which the new [type] machine would be used.

In sum, throughout the period of investigation, Supplier A — which sold Mg metal ingots to TAC — maintained business relationships with and purchased product from [country] manufacturers of Mg metal ingots and pure Mg. Thus, TAC cannot substantiate its claim that it

¹³³ See Supplier A SRFI 3 Response (Jan. 08, 2025) (Business Confidential Version), at Ex. 2; see Supplier A SRFI 2 Response (Dec. 24, 2024) (Business Confidential Version), at Attach. 14; Supplier A Verification Exhibits (Mar. 21, 2025) (Business Confidential Version), at Ex. 15 at pp. 271–449.

¹³⁴ See Supplier A SRFI 2 Response (Business Confidential Version), at Attach. 14.

¹³⁵ See Supplier A Verification Exhibits (Mar. 21, 2025) (Business Confidential Version), at Ex. 15 at 337–63; Supplier A SRFI 2 Response (Business Confidential Version), at Attach 13.

¹³⁶ See TAC's Administrative Review Request (Business Confidential Version), at 20 (emphasis in original).

¹³⁷ See Supplier A Verification Exhibits (Mar. 21, 2025) (Business Confidential Version), at Ex. 15 at 338; TAC RFI Response (Business Confidential Version), at Ex. 10 at pp. 470, 522, 569, 614, 699.

¹³⁸ See Verification Report (Business Confidential Version), at 6–7.

¹³⁹ See *id.*

¹⁴⁰ May 9 Determination (Business Confidential Version), at 30.

¹⁴¹ See *id.* (citing Verification Report (Business Confidential Version) at 6).

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received only Turkish-origin Mg metal ingots from Supplier A when considering this evidence in combination with the adverse inference discussed above, Supplier A's lack of the necessary production and raw material consumption records to track its raw material usage through production, and Supplier A's fulfillment of orders for Mg metal ingots using unmarked bags of Mg scrap, as detailed below.

4. Supplier A did not maintain production or raw material consumption records necessary to track its raw material usage through production, and it fulfilled orders for Mg metal ingots from unmarked bags of Mg scrap.

TAC erroneously claims that "there was zero evidence of actual transshipment uncovered in this proceeding"¹⁴² and that Supplier A purchased sufficient quantities of non-Chinese-origin Mg scrap to fulfill TAC's orders of Mg metal ingots.¹⁴³ In fact, Supplier A lacked the necessary production and raw material consumption records to trace the origin of the Mg scrap it used to produce Mg metal ingots.¹⁴⁴ As discussed below, Supplier A's inability to properly track production input information was compounded by the fact that it fulfilled purchase orders from a facility that contained unmarked, commingled inventory of Mg metal ingots, pure Mg, and Mg scrap. Such evidence comports with the adverse inference that Supplier A sold covered merchandise to TAC during the period of investigation.

The production records that Supplier A provided to CBP in this investigation neither connect to Supplier A's raw material usage nor to customer purchase orders. Supplier A's production records consisted of handwritten, daily records denoting the volume of merchandise produced by each factory supervisor, which were later compiled into an Excel spreadsheet at the end of each month.¹⁴⁵ The handwritten records contained the date, the supervisor's name, and the weight (in kilograms) of the merchandise produced, but did not tie the production to specific purchase orders for Mg metal ingots or indicate the raw materials or furnace that Supplier A used to manufacture those ingots.¹⁴⁶ Additionally, the [document] that Supplier A provided in this investigation [description of document].¹⁴⁷

Supplier A also did not track its inventory consumption, claiming that it did not [description of production process].¹⁴⁸ In addition, Supplier A admitted that it did not "track scrap consumption in their systems," keep warehouse receipt slips for each shipment of Mg scrap it received to produce Mg metal ingots, or maintain warehouse withdrawal slips to indicate its raw material consumption from inventory.¹⁴⁹ At

¹⁴² TAC's Administrative Review Request (Business Confidential Version), at 10.

¹⁴³ See *id.* at 10–11, 22–25.

¹⁴⁴ As discussed above, the parties do not dispute that Mg scrap itself is described by the scope of the AD Order. See *supra* at 14.

¹⁴⁵ See Supplier A SRFI 3 Response (Business Confidential Version), at Ex. 2; Supplier A SRFI 2 Response (Business Confidential Version), at Ex. 14 at 8 & Ex. 3 at pp. 12–69.

¹⁴⁶ See Verification Report (Business Confidential Version), at 8 & Ex. 3 at pp. 12–69.

¹⁴⁷ See Supplier A SRFI 2 Response (Business Confidential Version), at Attach. 5–7.

¹⁴⁸ See Supplier A SRFI Response (Business Confidential Version), at 70.

¹⁴⁹ *Id.* at 8, 66.

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verification, Supplier A acknowledged that it was unable to produce consumption records because it did not document raw material movement.¹⁵⁰

On top of the lack of a production or raw material consumption tracking system, during verification, TRLED observed that Supplier A stored Mg scrap used to produce Mg metal ingots “in large unlabeled sacks” that did not indicate the type of Mg scrap (*e.g.*, AZ91D or AZ91), the manufacturer, or the country of origin.¹⁵¹ In its SRFI response, Supplier A explained that the Mg scrap it purchased arrived in [] description of product and production process].¹⁵² In addition, at verification, TRLED observed and took photographs of a shipping container that contained Chinese-origin Mg metal ingots and Chinese-origin pure Mg.¹⁵³ In other words, the record evidence demonstrates that Supplier A used commingled Mg scrap to produce Mg metal ingots, and maintained an inventory containing commingled Mg metal ingots and raw materials of various origins, including of Chinese origin.

In short, there is no record evidence to allow for accurate tracing of the exact Mg scrap or Mg metal ingots that Supplier A used to fulfill purchase orders of Mg metal ingots that were ultimately sold by Tigemer to TAC. Rather, the record evidence indicates that Supplier A utilized unlabeled commingled Mg scrap to produce Mg metal ingots and had no mechanism for determining the source of the Mg scrap it used to produce Mg metal ingots. Moreover, the record also shows the purchase and presence of [] country [] Mg metal ingots for which Supplier A was not able to provide any sort of tracing as to their disposition. Indeed, without a comprehensive tracking system (which Supplier A neither possessed nor utilized), Supplier A could not have known the country of origin of the Mg scrap that was removed from inventory and subsequently used to produce the Mg metal ingots that were shipped to its customers, including TAC. Nor could Supplier A know or show that the sales to TAC were not fulfilled from Chinese-origin Mg metal ingots.

5. TAC entered covered merchandise by evasion.

The record evidence shows that TAC entered covered merchandise by means of material and false documents or electronically transmitted data or information, written statements, or material omissions that resulted in AD cash deposits not being applied with respect to the covered merchandise. The merchandise was entered falsely on type “01” consumption entries instead of on type “03” AD/CVD entries.¹⁵⁴ As discussed above, the record evidence supports a conclusion that TAC entered merchandise that was covered by the AD Order and therefore should have been entered as type “03.” Thus, these declarations constitute false statements that are material and resulted in the applicable cash deposits and antidumping duties not being paid. TAC also omitted Case No. A-570-896 from the entry summary documentation.¹⁵⁵ The omission of Case No. A-570-896 from the entry summary documentation is material because it interfered with the government’s ability to accurately track imports of Mg metal from China, to

¹⁵⁰ See Verification Report (Business Confidential Version), at 27.

¹⁵¹ May 9 Determination (Business Confidential Version), at 30 (citing Verification Report (Business Confidential Version), at 8).

¹⁵² See Supplier A SRFI Response (Business Confidential Version), at 68.

¹⁵³ See Verification Report (Business Confidential Version), at 6–7.

¹⁵⁴ See TAC RFI Response (Business Confidential Version), at Ex. 10 at pp. 470, 522, 569, 614, 699.

¹⁵⁵ See *id.*

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collect the applicable antidumping duties due, and to determine and assess future antidumping duties.

Therefore, RR concludes that there is substantial evidence that TAC entered covered merchandise through evasion.

C. TAC's other claims lack merit.

In its request for administrative review, TAC raises three additional arguments, all of which lack merit: (1) TRLED would not have initiated this EAPA investigation without Trinity's allegedly false claims; (2) RR should consider TAC's untimely submission of email correspondence between Trinity and Supplier 1 and correspondence between Trinity and Tigemer (attached to TAC's administrative review request) as evidence that Trinity's submissions in the EAPA investigation "were premised on false statements and material omissions of fact";¹⁵⁶ and (3) TAC exercised reasonable care regarding the entry of Mg metal ingots into the United States.¹⁵⁷

First, with respect to TAC's argument regarding initiation of this EAPA investigation, RR does not determine whether CBP should initiate an investigation. In accordance with 19 U.S.C. § 1517 and 19 C.F.R. § 165.45, however, RR does review TRLED's final determination of evasion. Nevertheless, after considering TAC's argument that Trinity made false claims and the record evidence, we find that the information provided by Trinity in the allegation "reasonably suggests" the likelihood of evasion, as required by 19 C.F.R. § 165.15(b)(2). The allegation included the following information: records showing that TAC imported Mg metal from Turkey; industry research showing that only one company in Turkey produced primary magnesium and, [description of company]; screenshots from Tigemer's website showing it as a distributor of Mg metal; import statistics on the large volumes of magnesium imported into Turkey from China in 2023; and information showing that over 90 percent of global, non-U.S. magnesium production came from China.¹⁵⁸ While the allegation did not distinguish between primary and secondary magnesium production, the information provided was not false. This information satisfied the low threshold under 19 C.F.R. § 165.15 to warrant initiation.¹⁵⁹

Second, TAC erroneously argues that RR should consider TAC's untimely submission of email correspondence between Trinity and Supplier 1 and email correspondence between Trinity and Tigemer, which TAC attached to its request for administrative review.¹⁶⁰ TAC's original submission of these materials to TRLED exceeded the deadline for the voluntary submission of factual information provided by 19 C.F.R. § 165.23(c)(2), which requires parties to submit such

¹⁵⁶ TAC's Administrative Review Request (Business Confidential Version), at 7–8.

¹⁵⁷ See generally *id.*

¹⁵⁸ See Notice of Initiation (Business Confidential Version), at 2–3.

¹⁵⁹ See, e.g., *Leco Supply, Inv. v. United States*, 619 F. Supp. 3d 1287, 1296 (Ct. Int'l Trade 2023); *CEK Grp. LLC v. United States*, 633 F. Supp. 3d 1369, 1374–75 (Ct. Int'l Trade 2023); *Am. Pac. Plywood, Inc. & LB Wood Cambodia Co., Ltd. v. United States*, No. 20-03914, 2023 WL 4288346, at *8 (Ct. Int'l Trade June 22, 2023). See also 19 C.F.R. § 165.15(b)(2).

¹⁶⁰ TAC's Administrative Review Request (Public Version), at 7.

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information no later than 200 calendar days after CBP initiates the investigation.¹⁶¹ TAC did not submit the email correspondence until February 27, 2025, more than three months after the new factual information submission deadline.¹⁶² Thus, TRLED properly rejected TAC's submission as untimely and did not include it as part of the administrative record. As a result, the submission is not being considered by RR.¹⁶³ RR will continue to disregard such information to the extent that TAC has attempted to introduce it through its request for administrative review.¹⁶⁴

Third, whether an importer exercised reasonable care while importing goods covered by an AD or CVD order and subject to an EAPA proceeding is irrelevant. The EAPA statute requires only that there be a material false statement, data, information, or act or a material omission with regard to the entry of merchandise covered by an AD or CVD order that results in the non-payment or underpayment of antidumping and/or countervailing duties or cash deposit or other security.¹⁶⁵ Indeed, evasion:

{r}efers to entering covered merchandise into the customs territory of the United States by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the merchandise.¹⁶⁶

"Culpability" and "intent" do not appear in this definition. Moreover, the CIT has held that "EAPA read as a whole supports CBP's strict liability interpretation of the definition of evasion."¹⁶⁷ As such, RR need not analyze whether TAC exercised reasonable care in importing the covered merchandise when finding of substantial evidence of evasion under 19 U.S.C. § 1517.

¹⁶¹ The deadline for the voluntary submission of factual information was Monday, November 25, 2024, *i.e.*, 201 calendar days (day 200 fell on a Sunday) after CBP initiated this EAPA investigation on May 8, 2024.

¹⁶² See May 9 Determination (Public Version), at 47.

¹⁶³ See 19 C.F.R. § 165.45 (limiting RR's review and determination "to the specific facts and circumstances on the record") (emphasis added). See also 19 C.F.R. § 165.41(f) ("Each request for review must be based solely on the facts already upon the administrative record in the proceeding. . . .") (emphasis added).

¹⁶⁴ We disagree, however, with Trinity's assertion that TAC's request for administrative review should be rejected entirely, as RR can simply disregard the attachment.

¹⁶⁵ See 19 U.S.C. § 1517(a)(5)(A).

¹⁶⁶ 19 U.S.C. § 1517(a)(5)(A).

¹⁶⁷ *Ikadan Sys. United States, Inc. v. United States*, 639 F. Supp. 3d 1339, 1349 (Ct. Int'l Trade 2023).

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IV. Decision

Based upon our *de novo* review of the administrative record in this case, including the administrative review request and response thereto, as to TAC's imports of goods sourced from Supplier A, the May 9 Determination of evasion under 19 U.S.C. § 1517(c) is **AFFIRMED**.

This decision does not preclude CBP or other agencies from pursuing additional enforcement actions or penalties. Pursuant to 19 C.F.R. § 165.46(a), this final administrative determination is subject to judicial review pursuant to section 421 of TFTEA.

Sincerely,

**JACINTO P
JUAREZ JR** Digitally signed by
JACINTO P JUAREZ JR
Date: 2025.09.18
10:23:07 -04'00'

Jacinto P. Juarez, Jr.
Supervisory Attorney-Advisor
Regulations and Rulings, Office of Trade
U.S. Customs and Border Protection

Approved by:

**JENNIFER L
PETELLE** Digitally signed by
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